Executive Summary

This analysis evaluates the performance of Oak & Ivy Trading Co. using transactional data from December 2009 to December 2011. It emphasizes key business insights, including revenue trends, customer behavior, and retention opportunities. The business serves a mix of individual customers and wholesale buyers, each showing distinct purchasing behaviors, with wholesale buyers emerging as the key driver of revenue.

Overall, the business's performance remained stable, with a slight year-over-year decline. Seasonal demand patterns strongly influence performance, while customer behavior and retention play a crucial role in shaping revenue outcomes.

Key Insights

- **Revenue remained stable with a slight decline**
  The slight decline was caused by order volume, not pricing
- **Seasonal demand patterns**
  September through November stand out as peak operating months, highlighting demand around the holiday season
- **Revenue is concentrated among top customers**
  A disproportionate share of revenue is generated by top customers, emphasizing a key segment to target
- **Churn risk identified**
  Nearly 50% of customers fall into the “At Risk” segment
- **Growth opportunities**
  “Recent Customers” and “Potential Loyalists” can be targeted and turned into high-value customers

Recommendations

- **Capitalize on peak seasonal demand**
  Increase marketing and advertising efforts to maximize revenue during this time.
- **Focus on order volume over pricing**
  Implement strategies such as bundling, savings on bulk orders, or cross-selling rather than adjusting prices.
- **Prioritize high-value customers**
  Strengthen the relationships by offering personalized perks, loyalty/ VIP experiences, and early access to new products
- **Retention campaigns for the “At Risk” segment group**
  Rebuild a relationship with these customers with the use of discounts, personalized offers, and automated check-ins.

Note: The name “Oak & Ivy Trading Co.” is not the real name of the company and is used as a placeholder as the original dataset does not disclose the real name for privacy purposes.

Background
Oak & Ivy Trading Co. is a UK-based e-commerce retailer mainly selling unique all-occasion giftware. Through its online platform, the company serves numerous countries and a diverse customer base, including individuals and wholesale buyers.

Transactional data from December 2009 through December 2011 has been evaluated in this analysis to uncover key insights and provide strategic recommendations to support decision-making.

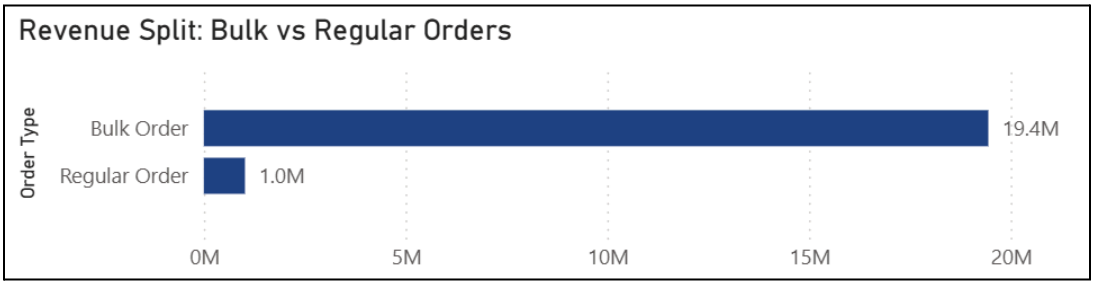
Over the evaluated years, Oak & Ivy Trading Co.'s business operations have served over 5,800 customers, processed more than 40,000 orders, and generated over $20 million in sales revenue.

The mix of individual customers and wholesale buyers has brought some complexity to customer purchasing behavior. Wholesale buyers' purchasing patterns show trends of higher-volume transactions, average order value, and revenue. They emerge as the dominant driver of business outcomes, and this insight is a key aspect of the analysis.

The evaluation of the business performance is intended to support stakeholders across departments, including marketing, sales, and customer strategy.

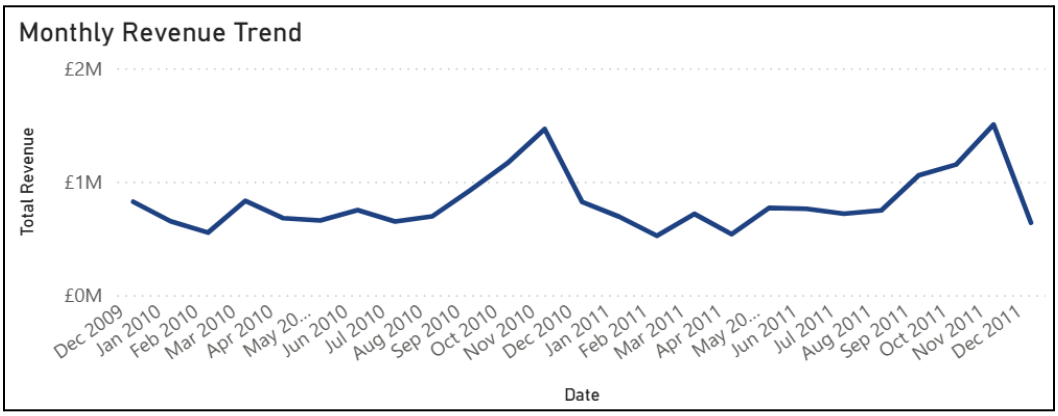
The main objectives of this analysis are to:
- Understand overall business trends
- Identify key growth drivers and declines
- Analyze customer purchasing behaviors
- Uncover retention and segmentation opportunities

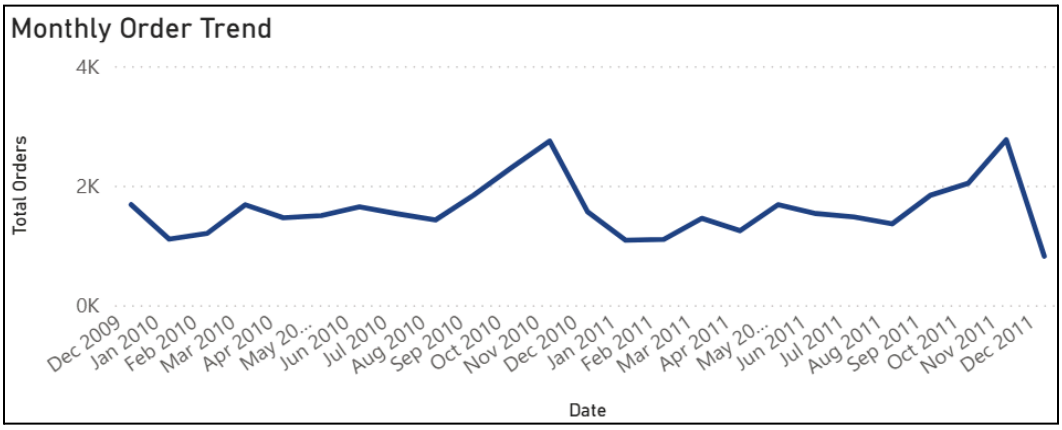
Key Insights
Executive Business Overview
1. **Bulk Orders Make up a Majority of the Total Revenue**



Over £19.4 million has been generated by bulk orders compared to only around £1 million by regular orders. This is a large, disproportionate share of revenue, and it indicates the business depends on wholesale purchases rather than small retail purchases.

2. **Revenue and Order Trend Lines Show Seasonal Spikes**





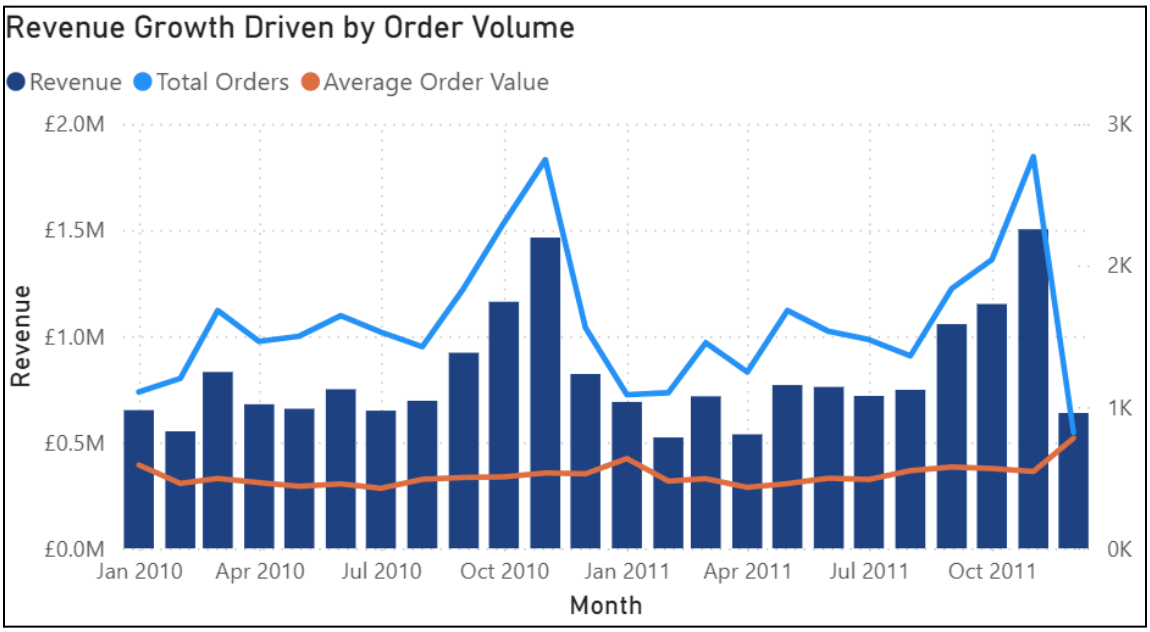
Total revenue and orders are the highest in Q4, showing strong seasonal purchasing behavior. The company relies on this timeframe, so it is crucial that the right planning is conducted.

3. **Average Order Value is Distorted Due to Higher Value Orders**

The average order value is £510.65, but the median order value is £302.22, indicating that larger orders are inflating the overall average, and the typical customer order is lower than the average suggests. Segmentation strategies can be implemented to better target different customers.

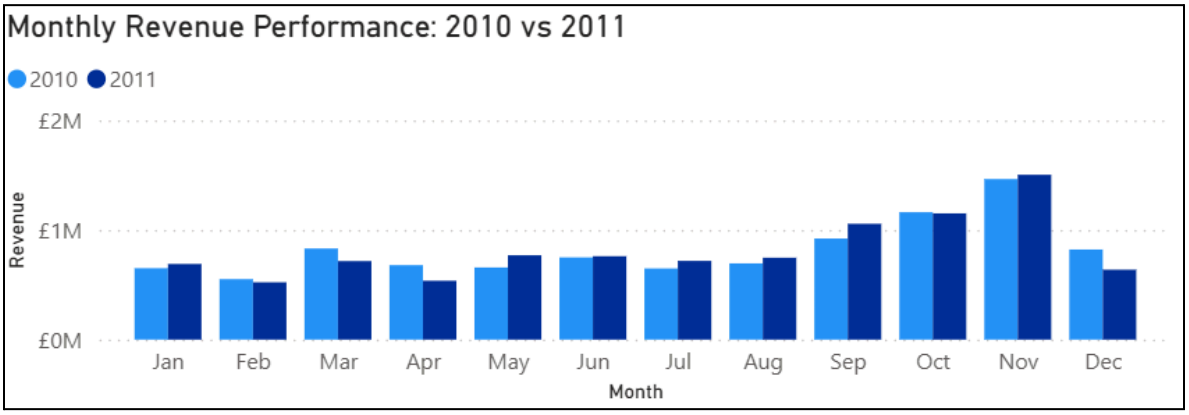
Growth Analysis (2010-2011)

1. **Revenue is Driven by Order Volume Rather Than Average Order Value**



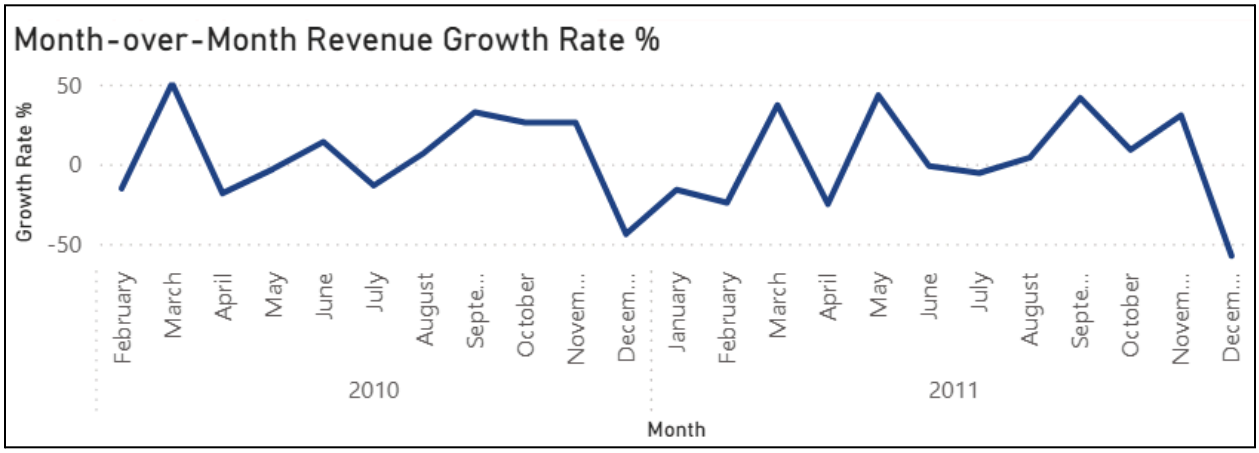
The total orders trend line follows revenue growth, while the average order value trend line stays stable. This indicates that the slight decline in sales revenue in 2011 was caused by total orders and not by pricing. This is also proven by the -7.97% decrease in order growth and a -0.28% decrease in customer growth.

2. **Underperformance Outside of Peak Months Caused Overall Revenue Decline**



Peak months (September-November) in 2011 performed the same, if not better than 2010, yet overall annual revenue declined. This implies that the months outside of the peak months are weaker, suggesting inconsistent demand and dependence on peak months.

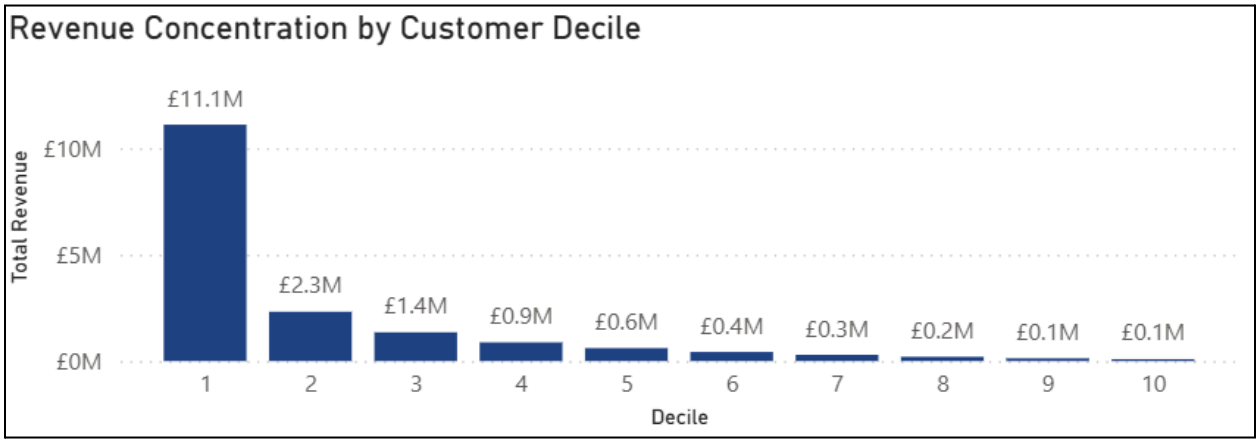
3. **Month-over-Month Growth Reveals Unstable Performance**



The Month-over-Month growth rate shows fluctuating growth. There is no consistent growth trend. This highlights the volatility of the company's revenue and the need for new targeting strategies.

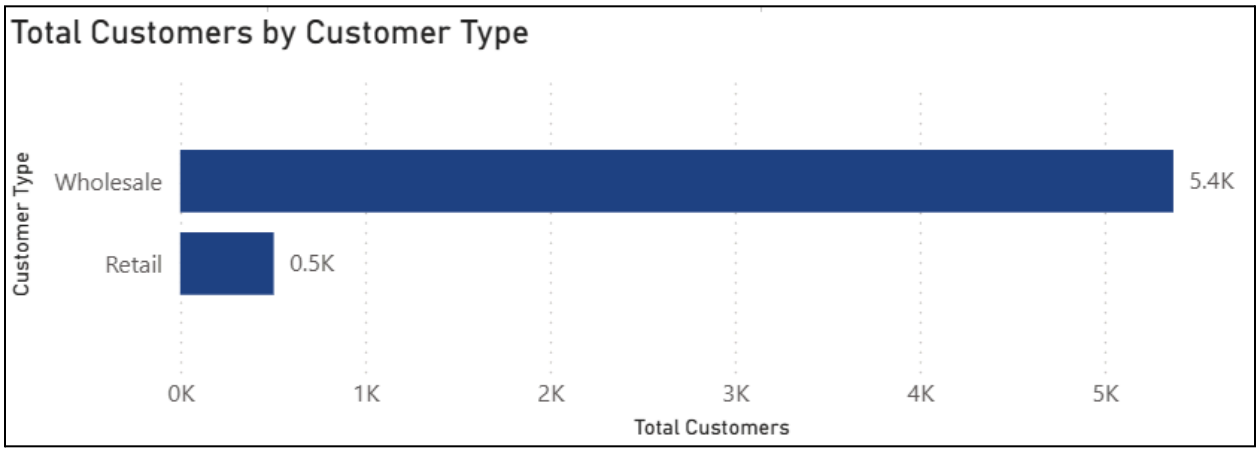
Customer Analysis (Only Known Customers)

1. **Revenue is Highly Concentrated Among the Top Customers**



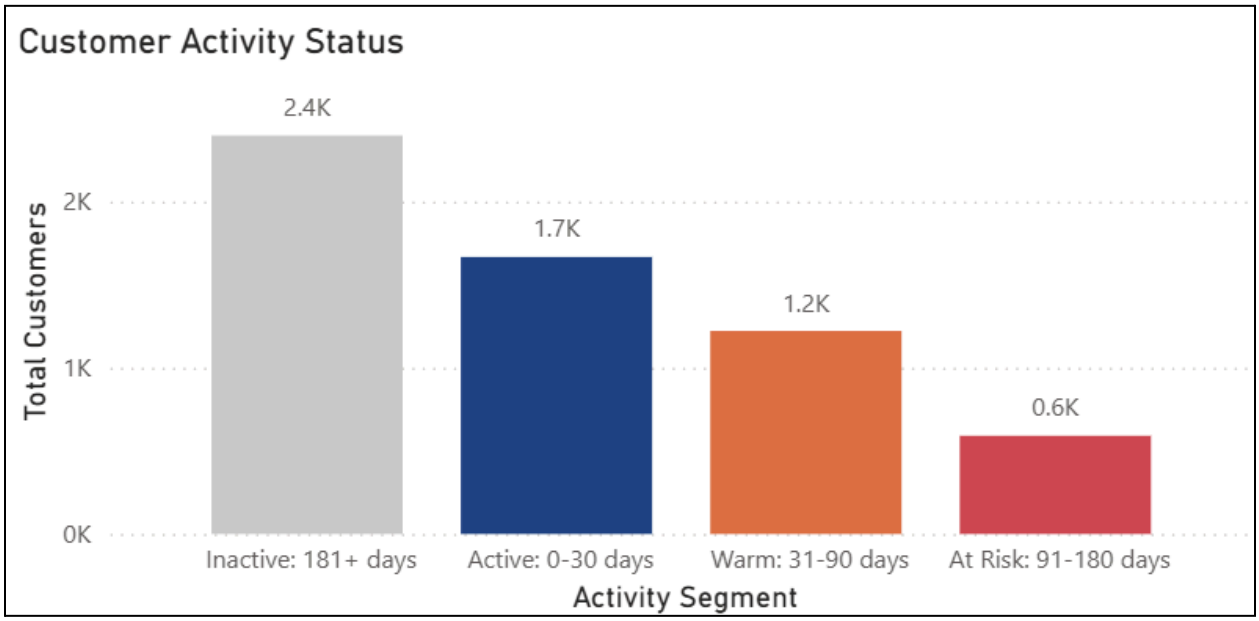
The top 10% of customers make up 63.9% of total revenue or £11.1 million. This indicates that a small percentage of customers make up a disproportionate share of total revenue, meaning targeting these high-value customers will prove to be crucial.

2. **Wholesale Buyers Make up a Majority of Customers**



Wholesale buyers account for over 5,400 customers, while retail customers account for only around 500. This is reflected in the total revenue as wholesalers make up over £17 million of sales revenue, while retailers only make up around £150,000 of sales revenue. The two customer segments require different targeting strategies, but wholesale buyers should be the focus.

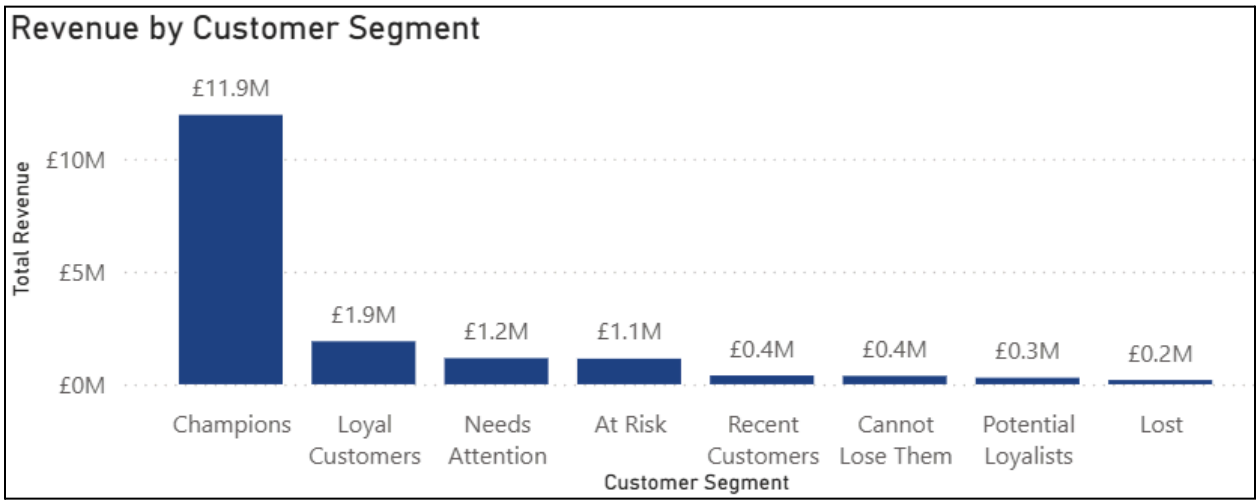
3. **Activity Status Shows that Most Customers are Inactive**



2,398 customers have not made a purchase in over 181 days, and another 600 have not made a purchase between 90 and 180 days. This highlights the opportunity for reactivation marketing campaigns.

RFM Segmentation and Customer Retention (Only Known Customers)

1. **"Champions" Contribute the Most to Total Revenue**



The champion segment brings in close to £12 million, which is over 68% of total revenue. The next largest segment is loyal customers, which brings in £1.9 million, which is over 10% of total revenue. Together, these two high-value segments make up 80% of total revenue. The main focus must be on retaining the customers in the champion segment to maintain overall business performance. Also, a secondary focus should be put on loyal customers, as this segment provides additional benefits.

2. **The 'At Risk' Segment Group is Large**

2,391 customers fall into the "At Risk" segment, meaning they have not purchased from the business in a long time, which could indicate potential churn. The "Cannot Lose Them" customer segment is especially important because the orders per customer are low, but the revenue per customer is high, indicating these customers spend a lot per order. However, it is important to note that the "At Risk" segment group only makes up just over 15% of total revenue, which is small compared to the "High Value" segment group. This segment group is still important because it presents the opportunity for retention campaigns to increase revenue.

Average Customer Behavior by Segment

Customer Segments	Segment Group	Count	Avg Revenue Per Customer	Avg Orders Per Customer	Avg Days Since Last Purchase
Champions	High Value	1342	£8,902.51	16.63	20.31
Recent Customers	Growth Opportunity	448	£866.37	1.47	28.20
Loyal Customers	High Value	663	£2,870.68	8.02	88.05
Potential Loyalists	Growth Opportunity	265	£1,084.23	3.16	112.52
Needs Attention	At Risk	1911	£605.57	2.10	236.40
At Risk	At Risk	345	£3,286.04	7.66	343.90
Cannot Lose Them	At Risk	135	£2,741.97	2.30	403.01
Lost	Lost	769	£243.55	1.14	563.95

3. **"Recent Customers" and "Potential Loyalists" Present Real Growth Opportunities**

These two customer segments are customers who are fairly new to the business, have a lower average order per customer, but the average revenue per customer shows good signs of spending behavior. Targeting these segments with specialized strategies can help turn these customers into "loyal customers" or even "champions", helping to drive revenue in the long term.

Recommendations

Sales & Growth

- **Capitalize on Peak Seasonal Demand**
  - **Why:** The analysis shows that revenue and orders spike during peak seasonal months (September-November) over both years. This indicates consistently high demand driven by holiday shopping behavior.
  - **Action:** During this period, the company should increase efforts in marketing and advertising to maximize revenue.
- **Improve Months Outside of Peak Seasonal Demand**
  - **Why:** Outside of peak operating months, demand decreases, causing revenue to decrease as well. The analysis shows lower sales revenue and orders during this time, as well as a month-over-month growth rate that is unstable.
  - **Action:** The company can implement strategies like bundling, discounts, or other promotions to keep customer engagement.
- **Focus on Increasing Order Volume Over Fixing Pricing Strategies**
  - **Why:** The key insights revealed to us that revenue is driven by order volume rather than average order value. Order volume growth matches revenue growth while average order value remains stable.

    - **Action:** The company should focus on strategies that are going to drive order volume growth, including bundling, savings on bulk orders, cross-selling, or similar strategies, rather than adjusting prices.

Customer Strategy

- **Prioritize Top Customers who Generate the Most Revenue**
    - **Why:** As the key findings point out, the top 10% of customers make up 63.9% or £11.1 million. This is a huge contribution, and losing these customers would have a serious negative impact on business performance.
    - **Action:** Identify these customers and strengthen the relationship with them by offering personalized perks, loyalty/ VIP experiences, and early access to new products to keep them coming back and generating revenue.
- **Launch Reactivation Campaigns for Inactive Customers**
    - **Why:** 2,398 customers are inactive, having not made a purchase in over 180 days, and another 600 have not made a purchase between 90 and 180 days.
    - **Action:** Launch reactivation campaigns to try to retain some of these inactive customers and rebuild relationships. Reach out with personalized email campaigns and provide incentives such as limited-time offers or discounts.

Retention & RFM Segmentation

- **Retain and Reward "Champion" and "Loyal" Customers**
    - **Why:** The analysis highlights that these top two segments together generate nearly £14 million or 80% of total revenue. These segments are crucial to the overall business performance.
    - **Action:** Targeting these customers with strategies including VIP perks, loyalty rewards, early access, highly personalized service, and more could keep them engaged and coming back. Retaining and rewarding these customers is important because it is more beneficial to keep existing customers than to try to acquire new ones.
- **Retention Campaigns for "At Risk" Segment Group**
    - **Why:** The "At Risk" segment group accounts for nearly half of the total customers at the company. Even though this segment only makes up around 15% of the total revenue, there are real growth opportunities in trying to retain these customers and turn them into "Loyal Customers" or even "Champions".

    - **Action:** Target this segment group with retention campaigns to try to strengthen the relationship with these customers. These campaigns could be effective through the use of discounts, personalized offers, and automated check-ins.
- **Nurture “Recent Customer” and “Potential Loyalist” customer segments**
    - **Why:** From the analysis, these two customer segments show that customers do not order a lot, but they show signs of good spending behavior. Converting these customers will prove to be beneficial for long-term growth.
    - **Action:** Deploy email campaigns that follow up and incentivize more purchases while they are still fairly new to the company. This will help retain and nurture them into high-value customers.